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# Mitek Systems (MITK): Hold

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The mix shift from legacy Mobile Deposit to Fraud & Identity is real and accelerating, but at $16.71 the market already prices our base case. We initiate with a Hold and a $17.28 blended target; the GARP setup needs bull-case execution to work.

| Hold | $17.28 | $16.71 | +3% |
|---|---|---|---|
| RATING | BLENDED TARGET | SPOT (OCT 12, 2026) | UPSIDE TO BLENDED |

| $14.14 / $20.87 | 9.9% | $195-200M | 32-34% | ~$50M | 0.98 |
|---|---|---|---|---|---|
| BEAR / BULL TARGETS | LIVE WACC | FY26 REVENUE GUIDE | ADJ. EBITDA MARGIN GUIDE | NET CASH | EQUITY BETA |

## Executive summary

We initiate coverage of Mitek Systems with a **Hold** and a $17.28 blended target ($14.14 Bear / $17.05 Base / $20.87 Bull). Mitek holds a near-monopoly in mobile check deposit across the U.S. banking system and is using that entrenched distribution across 7,000+ institutions to cross-sell Fraud & Identity verification into a large and growing TAM.

Q3 FY2026 confirmed the thesis is working: $54.0M revenue (+18% YoY), SaaS revenue $26.2M (+36%), adjusted EBITDA $20.8M at a 38.5% margin, and raised full-year guidance to $195-200M revenue with 32-34% adjusted EBITDA margins. Fraud & Identity is now guided to $105-109M, roughly 19% growth and over 54% of revenue.

> **Our read:** the business is executing and the mix shift mathematically accelerates consolidated growth as Identity outruns the legacy deposit franchise. But the rerating has already happened: the stock is up 84% over the past year, and our reverse DCF shows the market prices a 7.9% five-year revenue CAGR, squarely between our Bear (5%) and Base (9%) cases. At $16.71 there is no margin of safety for the base case; the upside lives in the Bull case ($20.87, +25%), which requires Identity to sustain a 12%+ consolidated CAGR with margins expanding toward mature B2B software levels.

## Base-case assumptions

| INPUT | BEAR | BASE | BULL |
|---|---|---|---|
| 5-yr revenue CAGR (FY26-30) | 5% | 9% | 12% |
| 2030 revenue ($M) | 240 | 279 | 311 |
| 2030 FCF ($M) | 55.2 | 65.9 | 78.7 |
| Terminal growth | 2.0% | 2.5% | 3.0% |
| Target per share | **$14.14** | **$17.05** | **$20.87** |

WACC 9.9% live (spot 10Y 5.24% + 0.98 beta x 3.37% implied ERP + 1.5% micro-cap size premium). Gordon terminal at scenario growth rates. Net cash ~$50M ($49.4M term loan vs $99.7M cash and short-term investments); 48.6M diluted shares (Q3 FY2026 10-Q).

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## Bull case: $20.87 IDENTITY ACCELERATION

Check Fraud Defender adoption explodes as the consortium network scales (a top-five U.S. bank just joined the full network), Identity sustains high-teens growth, and operating leverage drives FCF margins toward mature B2B software levels. Revenue compounds at 12% to $311M with 2030 FCF of $78.7M. Worth $20.87, 25% above spot.

## Bear case: $14.14 COMMODITIZATION

Check volumes decline faster than expected, Identity faces pricing pressure from well-funded competitors, and margins stall near current levels. Revenue grows at 5% to $240M with FCF margins flat around 23%. Worth $14.14, 15% below spot.

## Verdict

> **We rate MITK Hold.** The blended $17.28 target sits 3% above the current price: fairly valued on our base case. We like the business and the mix-shift math, but we need either a lower entry (below $15) or evidence that Identity growth is re-accelerating toward the bull case before getting constructive. The balance sheet is clean ($50M net cash) and the capital allocation looks disciplined after the $155M convertible retirement.

## What would change our mind

- **Price:** a decline below $15 would put meaningful upside to our base case back on the table.
- **Identity re-acceleration:** Fraud & Identity sustaining 20%+ growth with consortium network effects compounding would support bull-case math.
- **Margin proof:** adjusted EBITDA margins holding above 35% as Identity scales would validate the mature-margin thesis.

## Key themes

| THEME | TREND | OUR TAKE |
|---|---|---|
| Fraud & Identity growth | ACCELERATING | Guided $105-109M (+19% YoY), now >54% of revenue; mix shift accelerates consolidated growth mathematically. |
| Mobile Deposit franchise | STABLE | Near-monopoly with prohibitive switching costs; the high-margin cash cow funding Identity expansion. |
| Margin expansion | STABLE | Q3 adj. EBITDA 38.5%; FY26 guide 32-34% supports the path toward mature 30%+ FCF margins. |
| Check Fraud Defender | ACCELERATING | Top-five U.S. bank joined the full consortium network; network effects strengthen with each member. |

## Other KPIs

- **SaaS revenue:** $26.2M in Q3 (+36% YoY), the growth engine within Identity.
- **Gross margin:** 79.1% GAAP / 85.5% non-GAAP, software economics intact.
- **LTM free cash flow:** $48.6M, roughly 25% of guided FY26 revenue.
- **Customer concentration:** largest customer 12-14% of revenue; 7,000+ institutions total.
- **Leadership:** new CRO Aaron Seyler (ex-Vonage) effective Aug 2026; Mark Rossi becomes Chairman Oct 1, 2026.

## Guidance (raised Aug 6, 2026)

- **FY2026 revenue:** $195-200M (raised), ~10% YoY at midpoint.
- **Fraud & Identity revenue:** $105-109M, ~19% YoY at midpoint.
- **Adjusted EBITDA margin:** 32-34% (raised).
- **Q4 FY2026 revenue:** $42-47M; results expected ~Nov 2026.

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